Role of an Entrepreneur

Unit 1 · 1.3.5.1 Entrepreneurs and leaders

What an entrepreneur does

- **Creating the business** — spotting an opportunity and turning an idea into a working firm.
- **Running & expanding it** — making day-to-day and strategic decisions and driving growth.
- **Innovating** — new products, processes or ways of working to stay competitive.
- **Bearing risk** — responsible for success or failure, often risking their own money.

Intrapreneurship

Intrapreneurship is employees within an existing business using entrepreneurial skills to create new products or ventures — the firm provides the investment, so the intrapreneur innovates without risking their own money.

- **Gmail** came from Google's “20% time” policy.
- **The Sony PlayStation** began with engineer Ken Kutaragi; backed by CEO Norio Ohga, Sony invested $2.5bn — the PlayStation took ~70% of the console market and 40% of Sony's operating profit by 1998.

It brings innovation, new revenue and a creative culture, but big bets on unproven ideas carry financial risk and can cause internal conflict.

Barriers to entrepreneurship

- A poor business idea (no real demand).
- Lack of finance / cash-flow problems.
- Lack of skills or experience.
- Strong competition from established rivals.
- Legal and regulatory barriers.
- Fear of failure and risk.